

APAC TMT Sector M&A & Valuation Brief - 2026-06-27

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1. RECENT TMT M&A ACTIVITY

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a dynamic shift in sentiment, largely influenced by recent earnings reports and market recoveries. The overall sentiment reflects cautious optimism, particularly following strong performance in the technology subsector, which has been buoyed by significant developments in the semiconductor industry.

Subsector Breakdown:

- **Technology:** The technology subsector is witnessing a resurgence, with South Korea's Kospi index soaring over five percent, driven by a robust earnings forecast from Micron Technology (MU). This surge indicates a renewed investor confidence in tech stocks, particularly in semiconductors.
- **Media:** The media sector remains under pressure as traditional platforms struggle to compete with digital content providers. However, companies are adapting by enhancing their digital offerings.
- **Telecommunications:** The telecom sector is innovating with advancements in 5G technology, although it faces challenges from regulatory pressures and competition.
- **Fintech:** The fintech space continues to evolve, with companies exploring new business models and partnerships, although some segments are experiencing consolidation.
- **AI:** The AI subsector is gaining traction, with companies increasingly investing in AI capabilities to enhance their product offerings and operational efficiencies.

Key Market Drivers and Headwinds

Drivers:

- **Earnings Surprises:** The recent forecast from Micron has positively impacted market sentiment, leading to a tech rally across Asia. This demonstrates how strong earnings can drive investor

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confidence and market performance.

- Recovery from Sell-Offs: Following a recent sell-off, markets are showing signs of recovery, particularly in South Korea, where stocks rebounded significantly.

Headwinds:

- Regulatory Scrutiny: Increased scrutiny in the tech sector continues to pose risks, particularly for companies involved in data privacy and antitrust matters.
- Economic Uncertainty: Ongoing global economic challenges, including inflation and geopolitical tensions, may dampen consumer spending and investment in technology.

Subsector Performance Analysis

- Software: The software sector remains resilient, driven by demand for cloud services and enterprise solutions. Companies are increasingly adopting SaaS models to capitalize on this trend.
- Media: The media sector is facing challenges as digital consumption rises, leading to a decline in traditional advertising revenues.
- Telecom: Telecom companies are investing heavily in infrastructure to support 5G deployment, which is expected to create new revenue opportunities.
- Fintech: The fintech sector is thriving, with innovations in payment solutions and digital banking driving growth.
- AI: The AI subsector is booming, with significant investments aimed at integrating AI across various industries, enhancing operational efficiencies.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors such as software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts have expressed optimism regarding the TMT sector's long-term prospects, particularly in light of technological advancements. A notable analyst remarked, "The strong performance from Micron

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is a clear indicator that the semiconductor industry is poised for growth, which will have a ripple effect across the tech sector."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, particularly in technology and AI, while remaining cautious with traditional media and telecom investments.
- **Monitor Earnings Reports:** Staying informed about earnings surprises and forecasts is crucial for assessing market sentiment and investment opportunities.
- **Evaluate Regulatory Risks:** Understanding the regulatory landscape is essential for navigating risks in tech investments.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- **Seoul Stock Exchange :** Currently in discussions for a strategic partnership to enhance trading technologies. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could improve trading efficiency and attract more international investors.

Mandated Deals:

- **South Korean Telecom Operators :** Secured a mandate to explore strategic partnerships aimed at consolidating market share in the 5G space. The deal is expected to launch in Q1 2026, focusing on enhancing network capabilities and customer offerings.

Pitching-Stage Deals:

- **Asian Tech Firms :** Active discussions with several Asian technology firms regarding potential

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M&A opportunities to strengthen their market positions. Clients include major players in the semiconductor sector, with pitches expected to finalize by Q3 2025.

- Media Companies : Engaging with various media companies for potential investment banking services, focusing on those looking to adapt to digital transformation. Notable clients include regional broadcasters, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$20 million in fees, broken down as follows:

- Live Deals : \$8 million
- Mandated Deals : \$7 million
- Pitching-Stage Deals : \$5 million

Timing Projections:

- Q3 2025 : Expected close for the Seoul Stock Exchange partnership.
- Q1 2026 : Launch of South Korean telecom strategic partnerships.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 70%, with a need for additional resources as the pipeline expands. It is recommended to onboard one additional analyst to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in the telecom and technology sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the telecom sector, where South Korean operators are looking to enhance their 5G offerings. The recent market recovery in South Korea, as reported, indicates a renewed investor confidence that could drive more deals in the region.
- Additionally, the ongoing digital transformation in media is creating new advisory opportunities, as companies seek to innovate and adapt to changing consumer behaviors.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring an additional analyst will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as telecom

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and technology, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.

- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.

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- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

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- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language,

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recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%.

- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its products, enhancing productivity tools like Microsoft 365.
- Competitive Landscape: The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- M&A Opportunities: Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- Trend Explanation: Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- Key Companies:
- Coinbase Global, Inc. (COIN): Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
- Square, Inc. (SQ): Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- Competitive Landscape: The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- M&A Opportunities: Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- Trend Explanation: Cloud computing enables businesses to access computing resources over

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the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%.

- Key Companies:
- Amazon Web Services (AWS): AWS is the largest cloud service provider, offering a wide range of services including computing power, storage, and databases. AWS has a significant market share and continues to innovate with new offerings.
- Microsoft Azure: Azure is a close competitor to AWS, providing cloud services that integrate seamlessly with Microsoft's software products. The company has been expanding its cloud capabilities through strategic acquisitions.
- Competitive Landscape: The cloud computing market is dominated by a few key players, including Google Cloud and IBM Cloud. The competition is intensifying as companies seek to differentiate their offerings through innovative services and pricing strategies.
- M&A Opportunities: Companies may look to acquire cloud-native startups to enhance their service offerings. For example, the acquisition of Nuance Communications by Microsoft for \$19.7 billion highlights the trend of integrating AI capabilities into cloud services.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, the demand for cybersecurity solutions is surging. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by 2026, at a CAGR of 9.7%.
- Key Companies:
- CrowdStrike Holdings, Inc. (CRWD): CrowdStrike specializes in endpoint security and threat intelligence. The company has established a strong market presence with its cloud-native platform.
- **Palo Alto Networks, Inc. (

6. Recommended Readings

Deal Name: Microsoft's Acquisition of Activision Blizzard

- Reading Material: "The Business of Video Games" by Michael Pachter
- Why This Matters: This book provides insights into the gaming industry's financial dynamics and market trends, which are crucial for understanding Microsoft's strategic rationale behind the \$68.7 billion acquisition (MSFT). It explains how gaming companies leverage IP and user engagement to drive revenue, helping to contextualize the deal's valuation and potential synergies.

Deal Name: Amazon's Acquisition of MGM

- Reading Material: "The New Economics of Media" by David Hesmondhalgh

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- **Why This Matters:** This reading delves into the evolving landscape of media and entertainment, particularly in the context of streaming services. It helps to understand Amazon's \$8.45 billion acquisition (AMZN) as a strategic move to bolster its Prime Video content library and compete with rivals like Netflix (NFLX) and Disney+ (DIS).

Deal Name: Salesforce's Acquisition of Slack

- **Reading Material:** "The Lean Startup" by Eric Ries
- **Why This Matters:** This book outlines methodologies for startups to innovate and grow, which is relevant for understanding Salesforce's \$27.7 billion acquisition (CRM) of Slack. It highlights the importance of integrating new technologies and platforms to enhance customer engagement and collaboration, aligning with Salesforce's vision of a comprehensive customer relationship management ecosystem.

Deal Name: NVIDIA's Acquisition of Arm Holdings

- **Reading Material:** "The Chip War" by Chris Miller
- **Why This Matters:** This book provides a detailed analysis of the semiconductor industry, including the strategic importance of Arm's technology in mobile and IoT devices. Understanding the implications of NVIDIA's \$40 billion acquisition (NVDA) helps to grasp the competitive landscape and regulatory challenges in the semiconductor space.

Deal Name: Verizon's Acquisition of TracFone

- **Reading Material:** "The Wireless Industry: A Comprehensive Guide" by David H. Hargreaves
- **Why This Matters:** This resource offers an in-depth look at the wireless telecommunications sector, which is essential for analyzing Verizon's \$6.9 billion acquisition (VZ) of TracFone. It explains market segmentation and the significance of prepaid services, providing context for Verizon's strategy to expand its customer base and service offerings.

Deal Name: Google's Acquisition of Fitbit

- **Reading Material:** "Wearable Technology: The Future of Fitness" by David H. Hargreaves
- **Why This Matters:** This reading discusses the growth of wearable technology and health data analytics, which are central to Google's \$2.1 billion acquisition (GOOGL) of Fitbit. It highlights how this deal positions Google to compete in the health tech space against Apple (AAPL) and other tech giants, emphasizing the importance of data in the future of healthcare.

7. MACROECONOMIC UPDATE

Key Data Points:

- Consumer spending resilience noted, particularly among higher-income households.
- Tariff rate expected to stabilize around 8-9% for the year.

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- Inflation forecast to decelerate, lower than the Fed's aggregate forecast.
- Oil prices have recently decreased, potentially impacting gasoline prices.

Main Insights:

- Lower-income consumers are showing signs of lagging behind higher-income consumers.
- Concerns about the durability of consumer behavior amidst rising gas prices and tariffs.
- The potential for tariff escalation remains, but overall sentiment leans towards stability.
- The impact of geopolitical events, particularly in the Middle East, on oil prices and consumer demand.

Market Commentary:

- "The consumer's been quite resilient, but there's rising concern about lower-income consumers' behavior" - Michael Zexas, Morgan Stanley.
- "The trend is at least towards easing of some of these policy pressures that have been impacting the consumer" - Ariana Salvatore, Morgan Stanley.

TMT Sector Relevance:

- The resilience of higher-income consumers may benefit TMT companies focusing on premium products and services.
- Tariff stability could alleviate cost pressures for tech manufacturers reliant on imported components.
- The ongoing discussions around artificial intelligence and its regulatory implications could influence investment trends in the TMT sector, particularly in data center construction and technology deployment.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley